

Table 2.8 NASDAQ Select Market Maker Program

	ADV	Requirement
Tier 1	<1,000,000 Shares	NBBO 15% or more
Tier 2	≥1,000,000 Shares	NBBO 10% or more

Source: http://www.nasdaqtrader.com/content/ProductsServices/Trading/SelectMarketMaker/smm_factsheet.pdf.

NASDAQ select market maker designations are available for NASDAQ and non-NASDAQ listed securities. All registered market maker firms are eligible for select status and there is no limit to the number of select market makers in a particular stock. NASDAQ does not grant any special trading privileges to select market makers.

The program is as follows:

Securities are split into one of two tiers of stock. Tier 1 includes securities with an average daily trading volume (ADV) of less than 1 million shares per day. Tier 2 includes securities with an ADV greater than 1 million shares per day. For tier 1 stocks select market maker needs to display orders at the NBBO at least 15% of the time. For tier 2 stocks select market maker needs to display orders at the NBBO at least 10% of the time. Select status is based on the previous month's quoting statistics on a stock by stock basis (Table 2.8).

EMPIRICAL EVIDENCE

In this section we examine the underlying data to see if the market micro-structure findings from a two exchange system (NYSE and NASDAQ) still hold true. Later in Chapter 7, Advanced Algorithmic Forecasting Techniques, we provide techniques needed to best forecast volumes and intraday profiles (among other things), as well as offer insight into how we can best utilize this information when developing algorithms and specifying trading strategies. Our analysis period was 1Q-2012.

Trading Volumes

Market Share

The equity markets are dominated by four major regional and crossing exchange groups. Of these, the NYSE has the largest market share with 24.5% of total share volume. NASDAQ is second with 21.6% of total